WTO and World Trading System

Week 8

- GATT and WTO
- Principles: Market Liberalism and Nondiscrimination
- Tariff and Nontariff barriers
- TRIPs, TRIMs
- Challenges to WTO
  - Increasing members – increasing voices of developing countries + NGOs
  - RTAs – FTAs and Customs Union

Hegemon and World Trade System

Hegemon and the World Trade System

- International rules and procedures benefit all governments → public good
- **A hegemon – a country that wields preponderant power in the global system**
  - is also a country that produces a disproportionately large share of the world's total output and that leads in the development of new technologies.
  - gets large benefits from trade
  - Is willing to bear the full cost of creating international trade rules
- Hegemonic decline and **power transition**
  - When a hegemon **declines in power**, it is **less willing** to bear the cost of maintaining trade rules.

Trends

- British Hegemony 19th c
- Hegemonic transition
  - Interwar period
    - Britain lacked resources to bear the cost of restructuring the global economy
    - US unwilling
- American Hegemony 20th c.
  - 1960s-1980s Japan's rise – but did not replace the US.
  - China's rise?

GATT and WTO

GATT (General Agreement on Tariffs and Trade)

- the principal international organization for promoting free trade
  - 1947-1994
  - Replaced by WTO in 1995
- non-discrimination, rather than reciprocity
- Left out agriculture and services

Tariff and Nontariff barriers

- Tariff
  - Taxes that governments impose on foreign goods coming into the country.

- Non-tariff barriers to trade
  - Health and environmental regulations
  - Government purchasing practices
  - Quotas
  - VERs
  - Domestic content laws

  - Difficult to resolve non-tariff barriers

Orderly Market Arrangement (OMA)

voluntary export restrictions that involve a government-to-government agreement and often specific rules of management

Voluntary export restrictions (VERs)

A protectionist measure in which exporting countries agree to restrict shipments of a particular product to a country to deter it from imposing an even more onerous import quotas

Principles

- **Market Liberalism**
  - An open, or liberal, international trade system raises the world's standard of living
  - Gains from trade are greatest when goods can flow freely across national borders unimpeded by government-imposed barriers

- **Non-discrimination**
  - **Most Favored Nation** – treat all members the same as your favorite trade partner
    - Exceptions:
      - **Regional Trade Agreement s(RTAs)** – FTAs and Custom Unions
      - **Generalized System of Preference** – lower tariffs to imports from developing countries

  - **National Treatment** – treat foreign products the same as domestic products

Article I of GATT

"any advantage, favour, privilege, or immunity granted by any contracting party to any product originating in or destined for any other country shall be accorded immediately and unconditionally to the like product originating in or destined for the territories of all other contracting parties."

Article III of the GATT

"the products of the territory of any contracting party imported into the territory of any other contracting party shall be accorded treatment no less favourable than that accorded to like products of national origin in respect of all laws, regulations and requirements affecting their internal sale, offering for sale, purchase, transportation, distribution or use."

Since 1947

- 60 agreements
- Forming central structure for international trade
  - Proscriptive – e.g.) prohibition against government discrimination
  - Prescriptive – e.g.) requirements for government to protect intellectual property

Decision-making process

- Intergovernmental bargaining
  - Negotiating agreements that directly liberalize trade and indirectly support that goal.
  - Tariffs – taxes that governments impose on foreign goods entering the country
  - Nontariff barriers – not as easy during GATT
  - Arranged in **rounds**

Negotiation rounds

- **Starts with** Ministerial Conference - establish an agenda, detailing the issues, and setting a target date for the conclusion
- Lower-level national officials conduct detailed negotiations to produce the outlines of a complete agreement
- Ends with a final Ministerial Conference
- National governments then ratify

TABLE 2.1

Trade Negotiations within the General Agreement on Tariffs and Trade (GATT)/World Trade Organization (WTO), 1947–2010

Name and Year of Round	Subjects Covered	Participating Countries
1947 Geneva	Tariffs	23
1949 Annecy	Tariffs	13
1951 Torquay	Tariffs	38
1956 Geneva	Tariffs	26
1960–1961 Dillon Round	Tariffs	26
1964–1967 Kennedy Round	Tariffs and Antidumping	62
1973–1979 Tokyo Round	Tariffs	102
	Nontariff Measures	
	Framework Agreements	
1986–1993 Uruguay Round	Tariffs	123
	Nontariff Measures	
	Rules	
	Services	
	Intellectual Property Rights	
	Textiles and Clothing	
	Agriculture	
	Dispute Settlement	
	Establishment of WTO	

(Oatley 2012, 25)

WTO

- Extended coverage to …
  - Tariffs to **non-tariff measures**
  - **Trade of** goods to **services (e.g. Mode 4)**
  - **TRIPs – trade-related aspects of intellectual property**
  - **TRIMs – trade-related investment measures**

- Decision making process
  - Intergovernmental bargaining

- **Dispute-settlement procedures**
  - by making the findings of its arbitration panels binding on the domestic laws of participating states.

- Currently 164 members

Roberto Azevedo,
Director General 2013-

1999 Seattle

Hong Kong 2005

Kevin Siers, North Carolina
— Editorial cartoons from the Charlotte Observer

Doha Round

- Started in 2001
- the **ninth** round since the Second World War
- the **first** since the WTO inherited the multilateral trading system in 1995.
- the **first** major overhaul of the system in the 21st Century

Doha Round: The ambition

2002–? The Doha Round	Tariffs	147
	Agriculture	
	Services	
	Intellectual Property Rights	
	Government Procurement	
	Rules	
	Dispute Settlement	
	Trade and the Environment	
	Competition Policy	
	Electronic Commerce	
	Other Issues	

Source: World Trade Organization 1995, 9 and WTO website.

Subjects

- **Agriculture**
  - More market access,
  - eliminating export subsidies,
  - reducing distorting domestic support,
  - sorting out a range of developing country issues,
  - dealing with non-trade concerns such as food security and rural development.

- **Services**
  - To improve market access and to strengthen the rules.
  - Each government has the right to decide which sectors it wants to open to foreign companies and to what extent, including any restrictions on foreign ownership. Unlike in agriculture and NAMA, the services negotiations are not based on a "modalities" text. They are being conducted essentially on two tracks:
    - bilateral and/or plurilateral (involving only some WTO members) negotiations
    - multilateral negotiations among all WTO members to establish any necessary rules and disciplines

. . . Subjects

- **The environment**
  - **Freer trade in environmental goods**. Products that WTO members have proposed include: wind turbines, carbon capture and storage technologies, solar panels.
  - **Environmental agreements**. Improving collaboration with the secretariats of multilateral environmental agreements and establishing more coherence between trade and environmental rules.

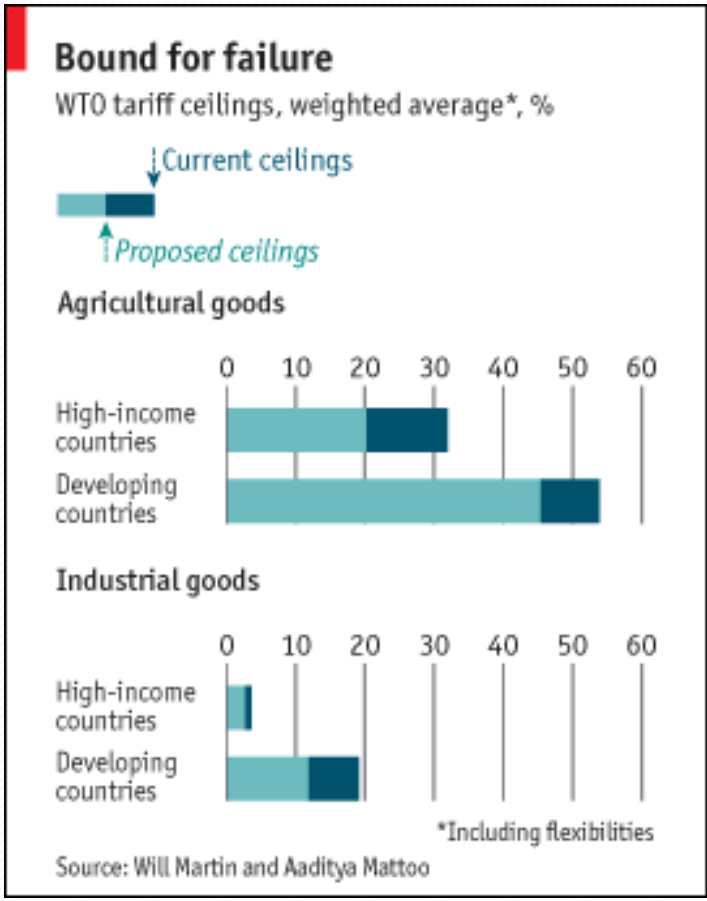
- **Geographical indications: multilateral register for wines and spirits**
  - to "facilitate" the protection of wines and spirits in participating countries.
  - The talks began in 1997 and were built into the Doha Round in 2001.
  - the only intellectual property issue that is definitely part of the Doha negotiations.

- **Other intellectual property issues**
  - Some members want negotiations on two other subjects and to link these to the register for wines and spirits. Other members disagree. These two topics are discussed in consultations chaired by the WTO Director-General (sometimes a deputy):

- **GI "extension"**.
  - Extending the higher level of protection for **geographical indications** beyond wines and spirits

But. . . still talking: Difficulties

- Broke down in 2003, Cancún
  - US and EU – wanted to keep agricultural subsidies
  - Developing countries – refused to negotiate on the **Singapore issues** (trade and investment, competition policy, government procurement, trade facilitation)
- Restarted next year but no substantial progress. . .
  - India wanted the right to raise farm tariffs far above agreed ceilings in response to a modest increase in imports.
  - US insisted that its farmers be allowed to sell more produce in countries like China, which buys around 40% of its soyabeans. Otherwise it could not win support for tighter limits on its subsidies.
- "In the wake of this failure, will the WTO remain useful enough to the big powers to retain their support and patronage?" (Economist 31st July 2008)



Economist 31st July 2008

KAL
THE ECONOMIST
London
ENGLAND

But a breakthrough . . . ?

July 24, 2015 7:55 pm

WTO deal to cut tariffs on IT products

Shawn Donnan, World Trade Editor

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The US, China, the EU and more than 50 other members of the World Trade Organisation have sealed an agreement to reduce tariffs on IT products including game consoles, semiconductors and printer cartridges in a move that should lead to increased trade and lower prices for consumers.

Mr Azevêdo and others hailed the ITA update as "**the first major tariff-cutting deal at the WTO in 18 years**" and said "it shows that the multilateral trading system can deliver". However, negotiations in Geneva to try to come up with a plan to revive the much bigger and long-stalled Doha round have ground to a halt amid a deadlock over important issues such as agricultural subsidies." (Financial Times, 24th July 2015)

WTO: 2015 NEWS ITEMS

MINISTERIAL CONFERENCE, 10TH, NAIROBI

19 DECEMBER 2015

WTO members secure "historic" Nairobi Package for Africa and the world

WTO members concluded their Tenth Ministerial Conference in Nairobi on 19 December by securing an historic agreement on a series of trade initiatives. The "Nairobi Package" pays fitting tribute to the Conference host, Kenya, by delivering commitments that will benefit in particular the organization's poorest members.

https://www.wto.org/english/news_e/news15_e/mc10_19dec15_e.htm

https://www.wto.org/english/thewto_e/minist_e/mc10_e/nairobipackage_e.htm

Dispute Settlement Mechanism

- Most of the governments comply with most of their WTO obligations most of the time . . .
- DSM ensures compliance
  - by helping governments resolve disputes
  - by authorizing punishment in the event of noncompliance
- Independent quasi-judicial tribunal
  - Investigate rules and facts
- https://www.wto.org/english/tratop_e/dispu_e/dispu_e.htm
  - You can also search for individual cases. . . .

Chronological list of disputes cases

The cases listed below are in reverse chronological order (the newest appear first).

Type in a dispute number then click "Go" or click on the case ("DS") number below to go to the page for that dispute.

Dispute number: DS [ ] Go

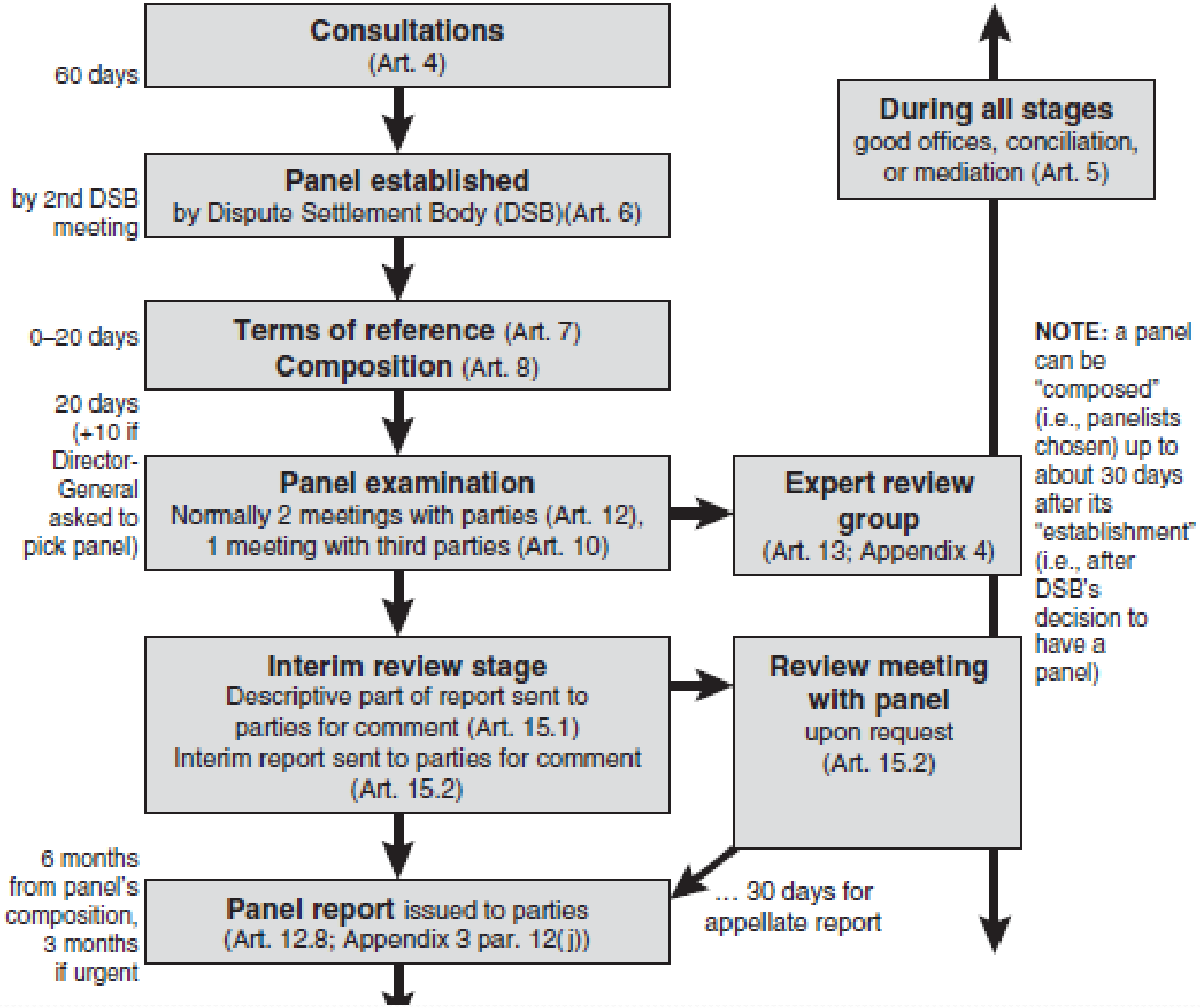
DS496	Indonesia — Safeguard on Certain Iron or Steel Products (Complainant: Viet Nam)	Consultations requested: 1 June 2015 Current status: In consultations
DS495	Korea, Republic of — Import Bans, and Testing and Certification Requirements for Radionuclides (Complainant: Japan)	Consultations requested: 21 May 2015 Current status: In consultations
DS494	European Union — Cost Adjustment Methodologies and Certain Anti-Dumping Measures on Imports from Russia — (Second complaint) (Complainant: Russian Federation)	Consultations requested: 7 May 2015 Current status: In consultations
DS493	Ukraine — Anti-Dumping Measures on Ammonium Nitrate (Complainant: Russian Federation)	Consultations requested: 7 May 2015 Current status: In consultations
DS492	European Union — Measures Affecting Tariff Concessions on Certain Poultry Meat Products (Complainant: China)	Consultations requested: 8 April 2015 Current status: In consultations
DS491	United States — Anti-Dumping and Countervailing Measures on Certain Coated Paper from Indonesia (Complainant: Indonesia)	Consultations requested: 13 March 2015 Current status: In consultations
DS490	Indonesia — Safeguard on Certain Iron or Steel Products (Complainant: Chinese Taipei)	Consultations requested: 12 February 2015 Current status: In consultations
DS489	China — Measures Related to Demonstration Bases and common Service Platforms Programmes (Complainant: United States)	Consultations requested: 11 February 2015 Current status: Panel established, but not yet composed
DS488	United States — Anti-Dumping Measures on Certain Oil Country Tubular Goods from Korea (Complainant: Korea, Republic of)	Consultations requested: 22 December 2014 Current status: Panel established, but not yet composed

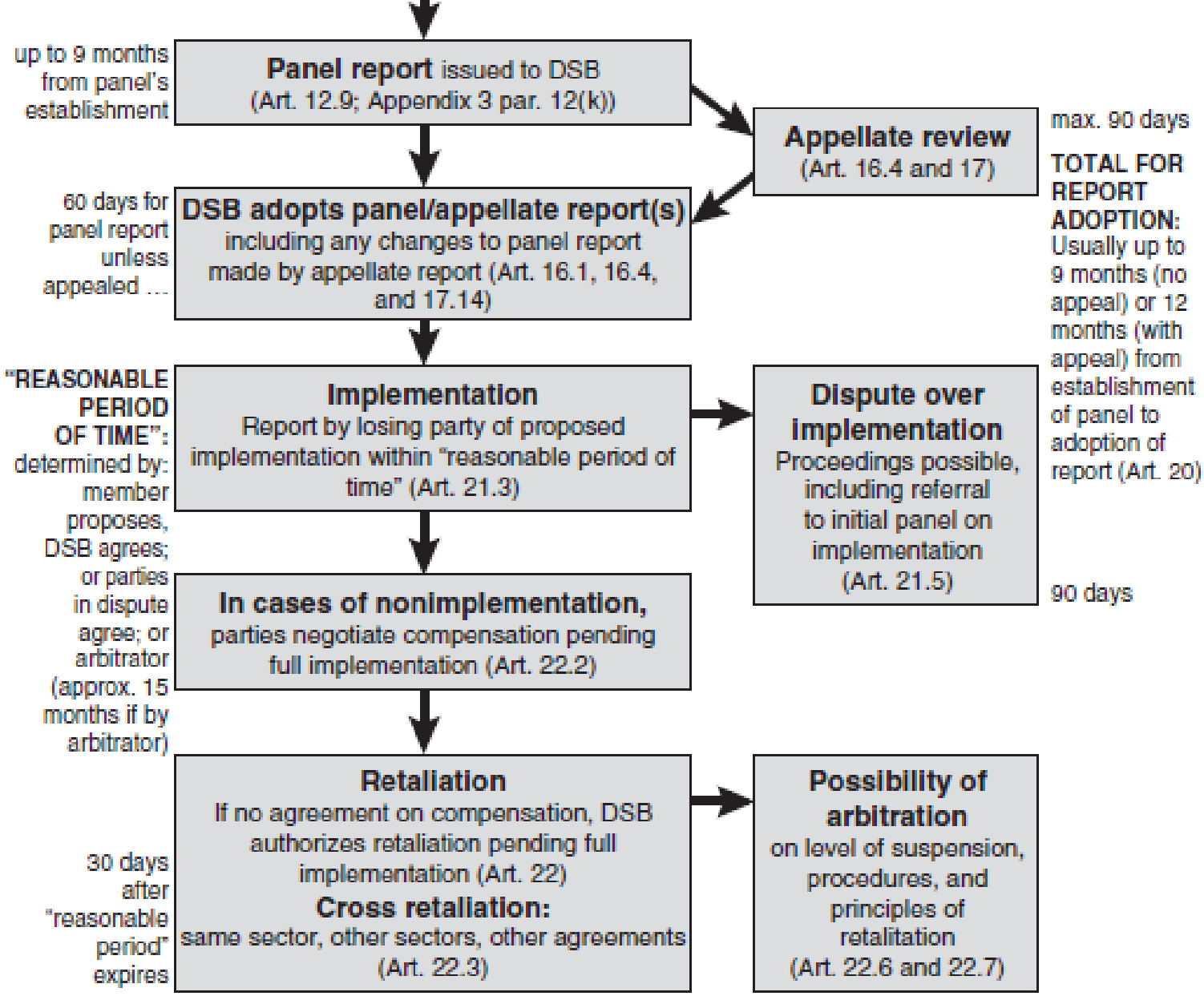
Dispute Settlement Mechanism (ch.3, 66-69)

- A government brings an alleged violation to the **Dispute Settlement Body (DSB)**
- DSB encourages settlement through **direct consultation**
- If not. . . Creates a formal **panel** to investigate
  - 3 experts in trade law
  - Selected by DSB in consultation with the governments involved
  - DSB must accept panel report unless **all** WTO members vote against its adoption
- Both governments can appeal the panel's decision
- DSB create appellate body
  - 3~5 people from a list of seven permanent members (4-year term)
- Violating Government must alter its policy or compensate the injured party – or face retaliation.

From left to right: Ujal Singh Bhatia, Peter Van den Bossche, Shree Baboo Chekitan Servansing, Thomas R. Graham, Yuejiao Zhan, Seung Wha Chang and Ricardo Ramírez-Hernández

Members of Appellate Body (WTO 2015)


Consultations
(Art. 4)
60 days
Panel established
by Dispute Settlement Body (DSB)(Art. 6)
by 2nd DSB meeting
Terms of reference (Art. 7)
Composition (Art. 8)
0–20 days
20 days (+10 if Director-General asked to pick panel)
Panel examination
Normally 2 meetings with parties (Art. 12), 1 meeting with third parties (Art. 10)
Expert review group
(Art. 13; Appendix 4)
During all stages
good offices, conciliation, or mediation (Art. 5)
NOTE: a panel can be "composed" (i.e., panelists chosen) up to about 30 days after its "establishment" (i.e., after DSB's decision to have a panel)
Interim review stage
Descriptive part of report sent to parties for comment (Art. 15.1)
Interim report sent to parties for comment (Art. 15.2)
Review meeting with panel
upon request
(Art. 15.2)
6 months from panel's composition, 3 months if urgent
Panel report issued to parties
(Art. 12.8; Appendix 3 par. 12(j))
... 30 days for appellate report



No longer than 15 months. . .

Case. EU banana dispute

- 1993 - EU removed all tariffs on bananas imported from former British and French colonies (Africa, Caribbean and Pacific Islands)
- Mid-1990s - American countries (Ecuador, Guatemala, Honduras, Mexico, and the US) claimed EU violation of WTO obligations
- 1997 - DSB demanded that the EU implement WTO-consistent policies by Jan. 1999
- 1998 - Ecuador requested examination of new EU policy → panel found not satisfactory
- US requested to suspend $520 million in tariff concessions previously granted to EU
  - EU complained the retaliation was disproportionate the injury
  - WTO arbitration agreed to authorize the US to suspend $191.4 million
  - EU altered import policy – shifting 100,000 tons of the EU market that had previously been reserved for African, Caribbean, and Pacific producers to Latin American producers

Challenges to WTO

Challenges to WTO: Developing countries

- Emergence of developing countries as a powerful bloc within the WTO
  - GATT – avoided by developing countries
  - **Since mid-1980s more developing economies began to adopt export-orientation → More participation in WTO**

- Include largest economies: Brazil, China, India

- **More difficult to generate consensus**
  - Before. . . Similar economic structure and agenda
    - Liberalizing capital-intensive manufactured goods
    - Protecting labor-intensive industries and farming

  - After . . . Different economic structures

- Stalled rounds of negotiations in Seattle 1999 → modification → Doha rounds

Challenges: NGOs

- Lowering nontariff barrier decrease government's ability to use
  - Health and safety
  - Environmental protection

- WTO biased towards producer interests?
  - Insufficient protection of consumers and environmental interests

- Questions of efficiency and legitimacy
  - **Efficiency:** Can 161 governments (+ NGOs) reach agreements?
  - **Legitimacy:** Should rules that constrain national regulations be negotiated without the full participation of civil society?

Most serious challenges: RTAs

- **Regional Trade Arrangement (RTA)**: A trade agreement between two or more countries, usually located in the same region of the world, in which each country offers preferential market access to the other.

  - **Free-trade area** – government eliminate tariffs
  - **Customs union** – governments eliminate all tariffs on trade between customs union members and impose a **common tariff** on goods entering the union

  - 86% of existing RTAs are free-trade agreements
  - More than half of all RTAs are bilateral

  - 449 RTAs (counting goods, services and accessions together), of which 262 are currently in force. (As of April 2015, from WTO)

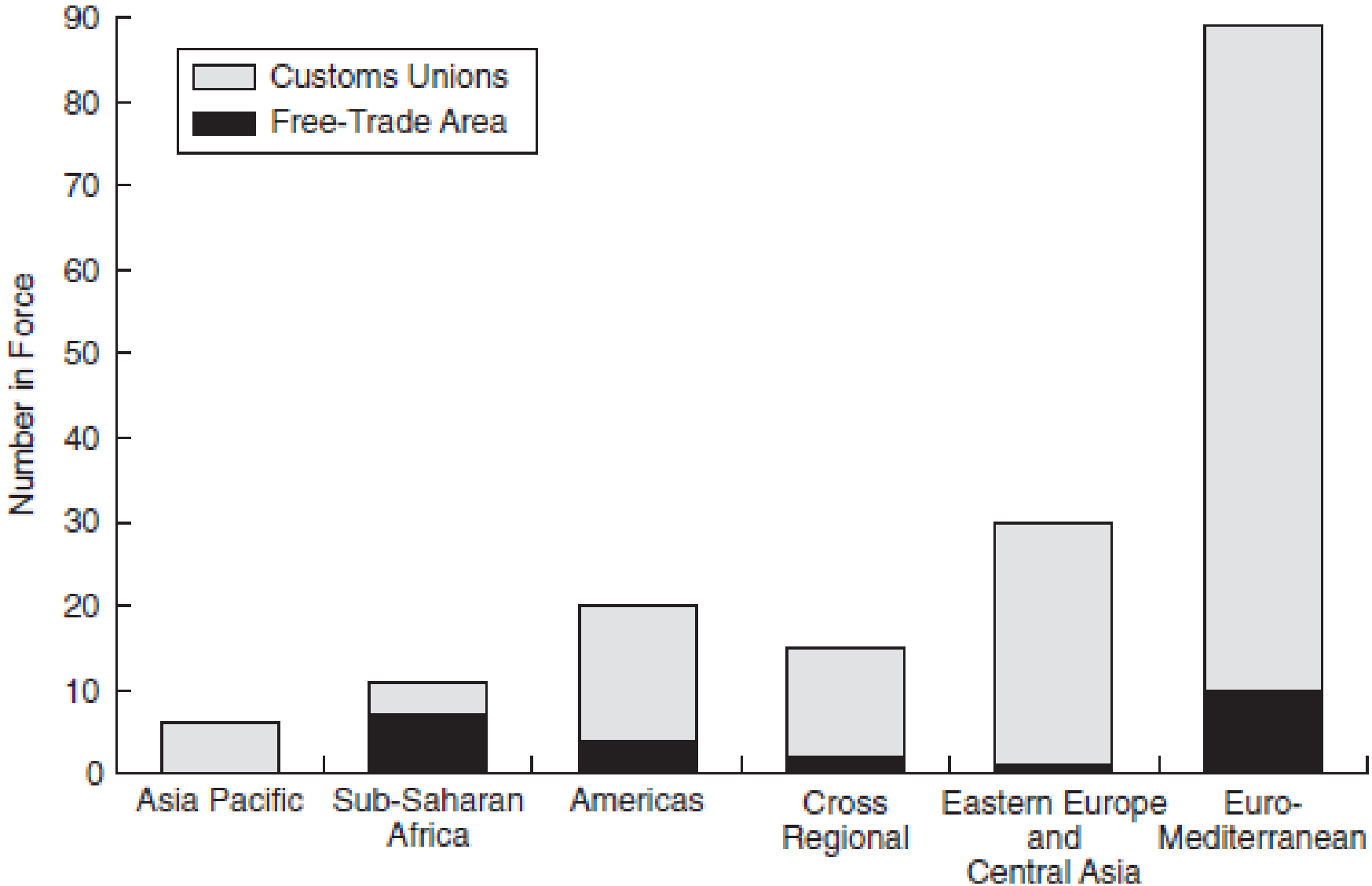


FIGURE 2.2

Geographic Location of Regional Trade Arrangements

Source: The World Trade Organization 2000

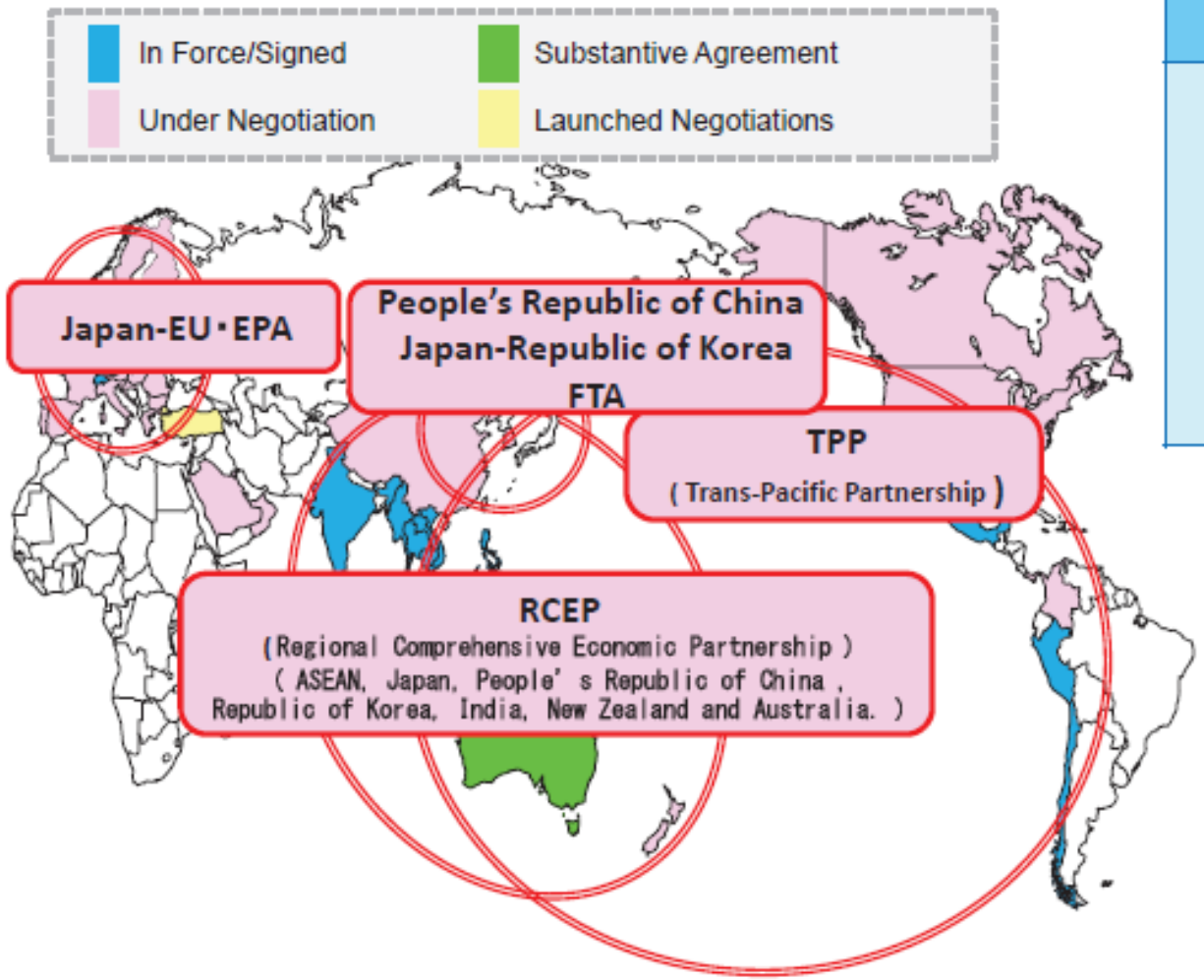
(Oatley 2012, 38)

RTAs. . .

- Inherently discriminatory
  - But GATT's Article XXIV allows countries to form RTAs as long as . . .
    - the level of protection imposed against non-members is no higher than the level of protection applied by the countries prior to forming the arrangement.

- **Why do countries pursue RTAs?**
  - Quick-fix after the break-down of the Soviet Union
  - More secure access to the market of a particularly important trading partner.
    - E.g.) US-Canada
  - Government's need to signal a strong commitment to economic reform
    - E.g.)Mexico – US
  - To increase their bargaining power in multilateral trade negotiations
  - Geopolitical interests?

Japan and Super FTAs



In Force/Signed (12 countries and 1 region)			
Asia	Singapore	Asia	Viet Nam
	Malaysia		India
	Thailand	Latin America	Mexico
	Indonesia		Chile
	Brunei Darussalam		Peru
	ASEAN	Europe	Switzerland
	Philippines		

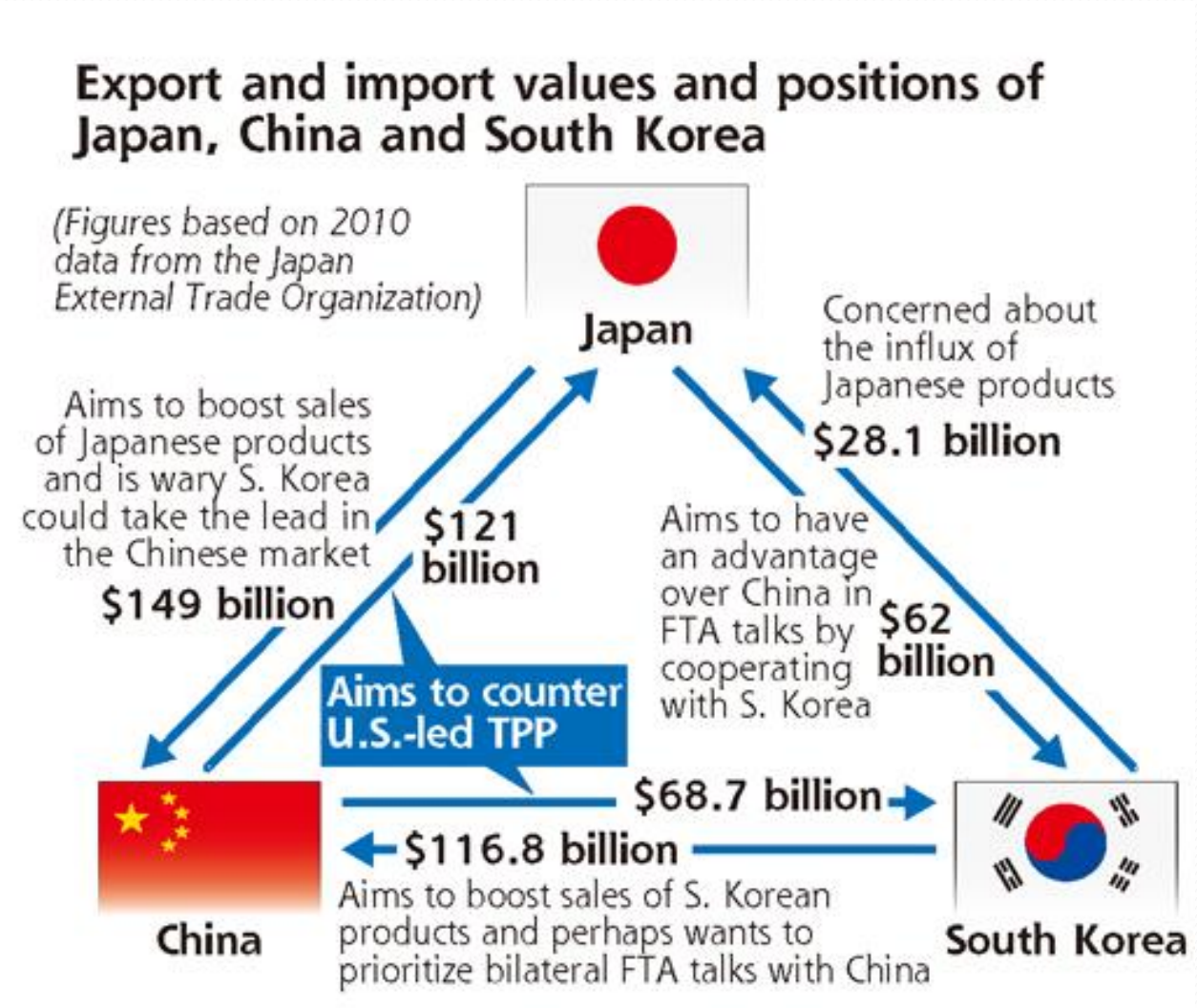
Substantive Agreement (1 country)	
Pacific	Australia

Under Negotiation (4 countries and 5 regions)			
Asia	C-J-K	Europe	EU
	RCEP	North America	Canada
	Republic of Korea (Negotiations suspended)	Latin America	Colombia
Asia/ Pacific	TPP	Middle East	GCC*

Launched Negotiations (1 country)	
Middle East	Turkey

* GCC: Gulf Cooperation Council (UAE, Bahrain, Kuwait, Oman, Qatar, Saudi Arabia)

C-J-K Trilateral FTA???



(Yomiuri, 15 May 2012)

Challenges to WTO

- Could be complementary to WTO
  - RTAs **create** more trade than divert → RTAs liberalize trade
- Could be challenging WTO
  - RTAs **divert** more than create → RTAs institutionalize discrimination
- Will RTAs lead to intensifying competition among blocs or to global free trade?